
UNIT 1 THE CLASSICAL APPROACH*

Structure

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1.1 OBJECTIVES

After going through the unit, you should be in a position to

- bring out the salient features of classical economics;
- analyse the classical approach to the determination output and employment;
- explain the quantity theory of money and its implication on price determination;
- explain the classical dichotomy in the economy and the neutrality of money in a classical system; and
- describe the behavior of prices in the long-run and short-run.

1.1 INTRODUCTION

Being a student of economics, you must be aware that macroeconomic theory has evolved over time in response to the dynamic macroeconomic environment. Initially, during the nineteenth and early twentieth century, there was a consensus among economists and economic historians that an economy could run smoothly without much fluctuation in income, output and employment. The perception

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was that there should be minimum state intervention in economic variables such as wages, prices and interest rates. The market forces (supply and demand) would take care of economic equilibrium in an economy. Such an assumption, however, is unrealistic – all governments have in place certain economic policies (such as monetary policy and fiscal policy) and they carry out amendments to these policies from time to time!

Economic theory refers to a set of ideas and principles which are used to explain, analyse and predict certain ‘phenomenon’ or observable events. As you know, macroeconomic theory deals with macroeconomic phenomena, which are aggregative in nature. The need for a special branch of macroeconomics arises because what holds for the individual units may not hold good for the economy as a whole. For example, suppose a firm employs labour for production of output (say, cement). It can hire as many workers it requires at the ongoing wage rate. Thus, increase in demand for labour by a single firm does not have any impact on the wage rate. However, if all the firms in a country increase their demand for labour (say due to economic boom and optimism in the country), there will be shortage of labour and increase in wage rate. Further, the number of workers available for work in the country is limited; thus demand for labour beyond this limit will increase wage rate only, not the supply of labour.

Let us look into the global energy crisis of 2022. This took the form of global shortages and increased the prices of oil, gas and electricity throughout the world. The crisis was caused by a variety of social and economic factors: labour shortages, political disputes, climate concerns, and the war between Russia and Ukraine. The world economy responds to such crises in certain ways. During the global energy crisis of 2022, for example, the oil-exporting countries witnessed an increased inflow of income while petroleum-importing countries experienced a rise in the cost of production. There was severe inflation in most countries. In order to control inflation, policy makers resorted to increase in interest rates and reduction in money supply.

Countries design their monetary and fiscal policies for the welfare of people by controlling inflation and boosting economic growth. Macroeconomic theory guides economists and policymakers to explain the situation and design appropriate policy measures. Among economists, however, there is no agreement on how equilibrium levels of output, prices and employment are determined. Historically economic data are the same, but economists differ on the reasons and solution for economic problems. In microeconomics there is more or less some consensus. In macroeconomics, as you will see, there are sharp and often altogether different explanations and policy recommendations for the same phenomenon.

Macroeconomics has been subjected to debates, particularly since the 1930s. The reasons behind such differences among economists are the basic assumptions and the models they take. Two major schools of thought – Classical and Keynesian – have interpreted economic events differently. Accordingly, they have accorded

different explanations for the same economic issue. In this unit, we focus on the classical theories while Keynesian theories will be discussed in Unit 2.

1.2 VARIOUS SCHOOLS OF MACROECONOMIC THOUGHT

A school of macroeconomic thought refers to a group of macroeconomic thinkers who share similar views on the behaviour of macroeconomic variables in an economy. As pointed out above, economists do not always share a similar approach in dealing with macroeconomic problems. For example, Keynesian theory came into existence as a response to the Great Depression. Further economic events during the 1970s led to the revival of the classical views in the form the New Classical Economics. As a response to New Classical economics, a new school of thought – New Keynesian Economics – was born by introducing micro-foundations and rational expectations in Keynesian economics. In later Units of this we will discuss about both these schools of thought.

Classical economics refers to a school of thought prevalent during the eighteenth and early nineteenth century. They believed that the levels of economic variables in an economy were determined through market forces. It implies that wages, prices and interest rates are flexible in an economy. However, the occurrence of the Great Depression (1929-1933), which witnessed massive decline in income, output, employment and price level, a stock market crash, and banking panic falsified such assumptions. This led to the search for new explanations periodic fluctuations in output and employment in an economy. John Maynard Keynes, a British economist, opposed the classical ideas and advocated that prices and wages are not flexible; rather they are sticky. He coined the term “classical” to reflect the ideas presented by economists prior to him. Prominent among classical economists are Adam Smith, David Ricardo, Thomas Malthus, Anne Robert Jacques Turgot, John Stuart Mill, Jean-Baptiste Say, and Eugen Böhm von Bawerk.

As opposed to the classical economists, Keynes advocated that the government should actively intervene in the market to counter recessionary conditions. From Keynes’s beliefs evolved a new school of macroeconomic thought that is called the Keynesian school. According to Keynesian economists, actual output could be lower than potential output of an economy and the gap can be closed through fiscal and monetary policy interventions.

There are two major schools of thought: classical and Keynesian. Classical theory emerged in the 18th and 19th centuries. It attempted to explain and analyse the remarkable increase in wealth. Classical theory relies on the assumption of fully flexible prices and wages, which results in an automatic adjustment in the market, ensuring no deficiency of aggregate demand. The economy operates at its full capacity or full employment level. These classical ideas failed to explain and understand the great depression of the 1930s. The depression had affected all the major advanced countries, wherein about one fourth of the labour force had become unemployed. Against this backdrop, John Maynard Keynes came up with his ideas, called Keynesian theory. He attempted to explain the event and advocated that such huge unemployment was because of inadequate aggregate